



Behavioural finance researchers seek to bridge the gap between classical economics and psychology to explain how and why people and markets do what they do. Behavioural finance raises a couple of important issues for investors. The first is whether or not it is possible to systematically exploit irrational market behaviour when it occurs. The second issue is how to avoid making sub-optimal decisions as an investor. The goal is to close the gap between how we actually *make* decisions and how we *should make* decisions.

In the stock markets, behavioural finance explains why we:

- hold on to stocks that are crashing;
- sell stocks that are rising;
- ridiculously overvalue and undervalue stocks;
- jump in late and buy stocks that have peaked in a rally just before the price declines;
- take desperate risks and gamble wildly when our stocks fall;
- avoid taking the reasonable risk of buying promising stocks unless there is an absolutely ‘assured’ profit;
- never find the right price to buy and sell stock;
- prefer fixed income over stocks;
- buy when we have to sell and sell when we should be buying;
- buy because others are buying and sell because others are selling.

Psychology can play a strategic role in the financial markets, a fact that is being increasingly recognised. Students and proponents of behavioural finance create investment strategies that capitalise on irrational investor behaviour. They seek to identify market conditions in which investors are likely to overreact or under react to new information. These mistakes cause under priced or overpriced securities. The goal of behavioural finance strategies is to invest in or disinvest from these securities before most investors recognise their error, and to benefit from the subsequent jump or fall in prices once they do.